

**FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges**

TOYOTA DE PUERTO RICO, CORP.
Complainant

Docket No. 19-02

v.

PUERTO RICO PORTS AUTHORITY;
CROWLEY PUERTO RICO SERVICES;
AND OCEANIC GENERAL AGENCY INC.
Respondents

**TOYOTA'S BRIEF IN COMPLIANCE WITH
ORDER LIFTING STAY AND REQUIRING BRIEFING
TO ADDRESS LACK OF SOVEREIGN IMMUNITY**

TO THE HONORABLE ERIN M. WIRTH, Administrative Law Judge:

COMES NOW, Complainant, Toyota de Puerto Rico Corp., (herein after “Toyota”) by and through the undersigned attorneys, and very respectfully submits this Brief in compliance with the Order Lifting Stay and Requiring Briefing, served November 13, 2020, supplementing the lack of sovereign immunity argument raised in its Opposition to the Motion to Dismiss, considering the May 2020 First Circuit decision in *Dantzler*, No. 18-2089.

I. INTRODUCTION

On November 13, 2020, this Honorable Office issued an Order lifting the stay and requiring the parties to file briefs “limited to supplementing their arguments regarding whether this proceeding should be dismissed on sovereign immunity grounds and raising any new arguments regarding the May 2020 decision in *Dantzler*¹ (“Order”). Toyota reiterates its position that, considering the functions at issue in this case, the Puerto Rico Ports Authority (“PRPA”) cannot be considered an arm of the state, and therefore, it is not entitled to Eleventh Amendment Immunity.

This Honorable Commission should not rely on the First Circuit’s statement regarding the sovereign immunity question at footnote 6 of its May 2020 decision in *Dantzler* when resolving this case: (1) because it only considers one of the various elements that determine Eleventh Amendment immunity, and (2) because it was decided on a motion to dismiss, for which the applicable standard only takes well-plead allegations in the complaint as true. A complete record, as in the captioned case, would have supported a different conclusion.

¹ *Dantzler, Inc. et als v. Empresas Berrios Inventory & Operations, Inc., et als*, 958 F.3d 38 (1st Cir. May 1, 2020).

In contrast, Toyota's Complaint survived a motion to dismiss because it did plead sufficient facts to state a claim upon which relief could be granted. In this brief, Toyota provides further factual details and evidence supporting its position that PRPA is not an arm of the State.

Finally, the First Circuit's statement on sovereign immunity is *dicta*. As such it is not authoritative, nor is it controlling of the resolution of this case. As discussed herein, Toyota's complaint should not be dismissed on Eleventh Amendment grounds.

Moreover, Toyota should be redressed for the damages suffered at the hands of PRPA to the extent it was required to pay an unreasonable, unjust and unconstitutional fee as a result of the latter's violations of the Shipping Act. Additional briefing should be allowed to prove as much.

II. ARGUMENT

A. The First Circuit in *Dantzler* Did Not Address All the Elements Developed by Federal Courts When Determining Eleventh Amendment Immunity.

In its Order, this Honorable Office cited footnote 6 of the *Dantzler* decision and stated that “[*the Dantzler's decision*] appears to resolve the circuit split², at least in regard to the cargo scanning program at issue in this proceeding”. Toyota respectfully disagrees.

The *Dantzler* opinion discusses at length whether the plaintiffs have standing to bring their Commerce Clause and Puerto Rico law claims against PRPA. In a separate section, it discusses whether plaintiffs have standing to bring their complaints against Rapiscan and S2. After a lengthy discussion, it concludes that the plaintiffs lack Article III standing and remanded for dismissal.

Almost as an afterthought, the Court touches on the matter of PRPA's sovereign immunity in footnote 6, noting that the conclusion on Article III standing makes it unnecessary to reach the

² In *Grajales v. PRPA*, 831 F. 3d 11 at 21-22 (1st Cir. 2016), the First Circuit found that PRPA was not entitled to sovereign immunity while the D.C. Circuit in 2008 in *Puerto Rico Ports Auth. v. Federal Maritime Commission*, 531 F.3d 868 (D.C. Cir. 2008) found that PRPA was entitled to sovereign immunity.

question. Yet, commenting on the nature of the inspection as a governmental function, the Court stated: “we find it difficult to see how PRPA cannot be cloaked with sovereign immunity”, and peremptorily described this as an alternative ground for its decision.³

A fair assessment of the question of sovereign immunity can hardly be made in one sentence. In footnote 6, *Dantzler* only considers one of the various elements that are carefully analyzed by courts when evaluating the question of Eleventh Amendment immunity: the governmental nature of the inspection.

Although the Court of Appeals recognized that an analytical framework was set forth in *Grajales, supra*, it addressed only one, among the various elements to be considered when determining Eleventh Amendment immunity. *Grajales, supra*, explained that prior First Circuit decisions regarding PRPA focused on whether the functions at issue in the particular case were governmental or not. This focus led to different arm of the state conclusions depending on the case. However, *Grajales* did not treat as dispositive the nature of the specific functions at issue in the case. *Grajales, supra*, at 20. A more thorough analysis that considers how the state characterizes the entity, and its overall fiscal relationship to the Government, is required to determine an entity's status for sovereign immunity purposes.

In truth, even if the *Dantzler* Court had wanted to address the totality of the elements, the lack of a complete evidentiary record would have prevented it from doing so.

B. *Dantzler* Was Decided on Motion to Dismiss, Whereas Toyota Has Already Survived That Stage and the Parties Have Concluded Discovery, which Shows PRPA Cannot Carry its Burden of Proving Sovereign Immunity.

³ See, *Dantzler, supra*, at 50, *fn* 6 (“[W]e note that given the analytical framework set forth in *Grajales v. P.R. Ports Auth.*, 831 F.3d 11 (1st Cir. 2016), combined with the fact that the cargo scanning program was implemented to further the governmental purposes of improving national security and ensuring proper tax collection, we find it difficult to see how PRPA cannot be cloaked with sovereign immunity here in **its performance of an inspection function that is governmental in nature.**” (Emphasis added.)

The applicable standard for a motion to dismiss, as opposed to the summary judgment standard, takes all well plead allegations in the complaint as true.⁴ *Dantzler* was decided on motion to dismiss. *See, Dantzler, supra*. In that case, the Court dismissed the complaint because, on its face, it did not plead sufficient facts to support its theories.

In contrast, the complaint in this case has already survived a motion to dismiss, because it plead sufficient facts to state a claim upon which relief could be granted. Here, the parties have concluded discovery, which reveals that PRPA cannot carry its burden of providing that it is an arm of the state entitled to sovereign immunity.

C. PRPA Is Not an Arm of The State and Is Not Entitled to Sovereign Immunity.

Sovereign immunity “bars the FMC from adjudicating complaints filed against a nonconsenting State.” *Fed. Mar. Comm’n v. S.C. Ports Auth.*, 535 U.S. 743, 760 (2002). The Eleventh Amendment provides sovereign immunity for “the states themselves and entities that are determined to be arms of a state.” *Pastrana-Torres v. Corporación de P.R. para la Difusión Pública*, 460 F.3d 124, 126 (1st Cir. 2006). An entity that invokes sovereign immunity “bears the burden of showing that it is an arm of the state.” *Wojcik v. Mass. St. Lottery Comm’n*, 300 F.3d 92, 99 (1st Cir. 2002). In the past, PRPA has failed to demonstrate that it is an arm of the state in cases before the federal courts. *See, Grajales v. PRPA, supra*, at 21-22 (1st Cir. 2016). Same result should be obtained here.

In *Fresenius Medical Care Cardiovascular Resources, Inc. v. Puerto Rico & Caribbean Cardiovascular Center Corp.*, 322 F.3d 56 (1st Cir.2003), the First Circuit outlined the two-step analysis developed by the Supreme Court of the United States in *Hess v. Port Authority Trans-*

⁴ *See, Mitsui O.S.K. Lines LTD. v. Global Link Logistics*, 2011 WL 7144008 (2011 F.M.C.), Docket No. 09-01, August 1, 2011.

Hudson Corp., 513 U.S. 30 (1994), when determining eleventh amendment immunity of an entity. The first step concerns how the state has structured the entity, in consideration of factors such as the extent of state control, how the law and the state courts characterize it, whether its functions are readily classifiable as state or non-governmental functions, and whether the state is liable for its debts.

If these structural indicators point in different directions, the second step of the Hess analysis comes into play. In this second phase, if it is clear that the state treasury is not at risk from a judgment in the case, then the control exercised by the state over the entity does not entitle the entity to Eleventh Amendment immunity. *Fresenius*, at pp. 65-66.

This two-step analysis was later implemented by *Grajales*, *supra*, when deciding the status of PRPA. In contrast to the peremptory language of *Dantzler's* footnote 6, *Grajales* conducted a detailed examination of the question of PRPA's sovereign immunity, from page 16 to page 31. It concluded that PRPA was not entitled to said immunity. The same result is required here.

1. STEP 1: Structural Indicators

The first *Fresenius* step addresses how the state structured the entity. "After all, a state may easily make clear by statute its view that an entity is to share the state's immunity. Where the state has not made a clear statement, its dignity interests are nonetheless protected by an examination of the structure the state has chosen to establish." *Fresenius*, *supra*, at 65.

Structural indicators refer to how state law characterizes the entity, the nature of the functions performed by the entity, its overall fiscal relationship to the Commonwealth (as opposed to whether the Commonwealth is liable for any judgment in the particular case at hand), and how much control the state exercises over its operations. We examine these next.

a. How the state characterizes the entity?

PRPA's enabling act does not structure it to be an arm of the state. Instead, it structures PRPA as a "public corporation" with a "legal existence and personality separate and apart from those of the Government and any officials thereof." See, P.R. Laws Ann. tit. 23, § 333(a)-(b).⁵ *Statement of Material Facts* ("SMF"), ¶ 1. The description of PRPA as a public corporation, with the qualifier that its legal existence is separate and apart from that of the Government and its officials, sends a strong signal that PRPA is not an arm of the state. *Grajales*, p. 22. "[W]hen Puerto Rico has chosen to make an entity an arm of the state, it has used other language." *Fresenius*, *supra* at 69.

The Act also empowers PRPA to operate with a considerable degree of autonomy relative to other Government entities. *Grajales*, *supra* at 22-23. Unlike instrumentalities that have been determined to be an arm of the state, PRPA is not attached to any component part of the Commonwealth that directly supervises it. *Grajales*, p. 23. *Grajales* also found it to be of significance that, by law, PRPA's debts are deemed to be its own and not those of the government. 23 LPRA § 333(b). *Id.* These factors are strong indicators that PRPA is not an arm of the state.⁶ Accordingly, this first structural indicator does not point in the direction of sovereign immunity. *Grajales*, p. 23.

⁵ See also, *Fresenius v. Puerto Rico and the Caribbean Cardiovascular Center*, *supra*, at 68; and *Grajales v. PRPA*, *supra* at 21 (1st Cir. 2016) (PRPA's enabling act 'does not by its terms structure [PRPA] to be an arm of the state.)

⁶ The D.C. Circuit in its *FMC* decision relied on the "government instrumentality" language to conclude otherwise. *Grajales* declined to treat such phrases as dispositive, focusing instead on the full characterization of PRPA in its enabling Act. *Grajales*, *supra*, p 22.

b. The nature of the functions performed by the entity.

PRPA is charged with promoting “the general welfare” and “increas[ing] commerce and prosperity ... for the benefit of the people of Puerto Rico.” 23 LPRA § 348(a). Within this broad responsibility PRPA functions range from governmental, such as the regulation of certain class of ship pilots, to proprietary, such as dock-operating and maintenance activities.⁷ The *Grajales* court found this indicator not to point in either direction. *Grajales*, supra at 24.

Prior to *Fresenius*, when addressing whether PRPA has been structured to be an arm of the state, the First Circuit had reached different conclusions “based on the distinct nature of the particular function that PRPA was performing that gave rise to the underlying suit.” *Grajales*, supra, at 16-17. (Emphasis ours.) In implementing the Supreme Court’s *Hess* decision, however, *Fresenius* did not address the entity’s case-specific function. Then, in *Grajales*, the First Circuit expressly declined to treat the nature of the particular function as dispositive of PRPA’s status. *Grajales*, at pp. 18, 20.⁸

Accordingly, when addressing the two-step test outlined in *Fresenius*, as explained in relation to PRPA in *Grajales*, the particular function of PRPA at issue is not determinative. However, even if it had any bearing at all, it is not what PRPA claims it to be.

PRPA has suggested that it is an arm of the state for purposes of the cargo scanning program mandated by Law 12 of February 18, 2008, 23 P.R. Laws Ann. §§ 3221 *et seq.* (“Law 12”), which

⁷ *Royal Caribbean Corp. v. Puerto Rico Ports Auth.*, 973 F.2d 8, 11-12, 1993 A.M.C. 152 (1st Cir. 1992) (PRPA enjoys considerable degree of autonomy, provides a service (maintaining and operating docking facilities) that it “sells” to users, and faces a lawsuit whose judgment is likely to be paid from the Authority’s funds, concluding that “Numerous cases find no immunity on facts very similar to those present here.”)

⁸ The D.C. Circuit has held that, once an entity is determined to be an arm of the state under the three-factor test, that conclusion applies unless there are relevant changes in state law governing the entity. *Puerto Rico Port Authority v. Federal Maritime Commission*, 531 F.3d 868, 873 (D.C.Cir.2008).

causes the imposition of the ESF challenged by Toyota.⁹ However, PRPA is not the government instrumentality with the proper legal jurisdiction and authority to intervene as of right in the inspection of cargo containers. *SMF* ¶ 5. Instead, the Legislature has specifically authorized the Secretary of the Treasury to inspect cargo containers when they arrive in Puerto Rico, as part of its power to collect taxes. *SMF* ¶ 6.

Accordingly, through the scanning program, PRPA has consented to allow the Treasury Department to place its authorized personnel in the Port of San Juan docks where PRPA has implemented the fast-scanning lanes required by Law 12, and which are ran by a private contractor. *SMF* ¶ 7. This arrangement allows the Treasury to inspect 100% of all inbound cargo containers to identify unreported taxable goods. *SMF* ¶ 8. The inspections may be occurring on facilities operated by PRPA, but in fact they are ultimately the responsibility of the Treasury Department personnel. *SMF* ¶ 9.

Therefore, in implementing facilities for non-intrusive cargo inspection by the Treasury Department, PRPA was not was not tasked with the governmental function of implementing a national security program, as PRPA incorrectly represents.¹⁰ PRPA's task was to install the fast scan facilities, 23 LPRA § 3222(c), and ensuring that they run in a way that preserves the free flow of commerce. *SMF* ¶ 10.

⁹ PRPA's Motion to Dismiss, p. 10, PRPA's Reply, p. 4.

¹⁰ PRPA's Reply, p. 4.

c. The entity's overall fiscal relationship to the Commonwealth.

The third structural indicator examines PRPA's overall fiscal relationship to the Government, rather than just who would be liable for paying the judgment. The First Circuit examines whether the agency has the funding power to satisfy its own judgments without direct participation or guarantees from the Government, whether and to what extent it receives Government funding and support, whether the Government has immunized itself from responsibility for its acts and omissions, and whether the Government bears legal liability for the agency's debts.

Grajales examined these factors, concluding that PRPA has independent capacity to raise its own revenues from its operation of the ports, to satisfy its judgments¹¹ without state participation or guarantee. Further, the Government has immunized itself from responsibility for PRPA's actions and bears no legal liability for its debts. *Grajales*, pp. 24-25. PRPA has also not received substantial Government financing and in fact, PRPA's acting Finance Director, Mr. Luis De Jesus Clemente, testified in this case that PRPA is a financially independent entity, with funds primarily derived from its operations. *SMF* ¶ 2. Such is the case of the scanning fee, which is meant to cover the costs of the scanning fee program. *SMF* ¶¶ 11-12.

Further, Mr. de Jesus confirmed that PRPA pays its debts with these self-generated funds, receives no legislative allotments, and does not participate in the Government's general fund. *SMF* ¶5. These fiscal indicators, therefore, negate that PRPA may be an arm of the Government.

¹¹ *Grajales* rejected the notion that the Dock and Harbor Act compelled a different conclusion, explaining that it merely represents the Commonwealth's waiver of its sovereign immunity in its own courts for damages otherwise payable by the PRPA Administrator or one of its officers, on account of his or her own negligence in the performance of their duties. 23 LPRA § 2303(b).

d. The control exercised by the government over the operations.

Grajales concluded that this is the only one of the structural indicators that points in favor of PRPA being an arm of the state. It noted that the governor exercises a meaningful degree of control over PRPA through his power to appoint and remove the members of its board of directors, among other control indicators.

e. CONCLUSION OF STEP 1

The Court in *Fresenius* explained that, if the analysis of the structural indicators of Step 1, reveals that “the state clearly structured the entity to share its sovereignty,” then the entity is an arm of the state and the analysis ends. *Fresenius* at 68. But if the structural indicators “point in different directions,” *id.* at 65, or the structural indicators alone cannot establish that the entity at issue is an arm of the state, the courts must proceed to the second step of the analysis.

In this case, the first two structural indicators point away from sovereign immunity, while the fourth points in its favor and the third is inconclusive. Accordingly, as in *Grajales*, we move on to step 2.

2. STEP 2: Risk that the damages will be paid from the public treasury.

As per the statutory fiscal structure described before, and as per Mr. de Jesus’ testimony, it is clear that the Government is not responsible for any judgment that may be rendered in this case against PRPA. That is, PRPA has not shown that this action poses any risk to the Government fisc. In fact, Mr. Luis De Jesus admitted that PRPA, and not the central government, is responsible for its own liabilities. SMF ¶

As held in *Fresenius*, “[a]t this stage, the vulnerability of the state’s purse is the most salient factor in the Eleventh Amendment determination. Where it is clear that the state treasury is not at risk, then the control exercised by the state over the entity does not entitle the entity to Eleventh

Amendment immunity.” *Fresenius*, *supra*, at 65. Because the Commonwealth would not be liable for a judgment against PRPA in this action, PRPA is not entitled to immunity in this case.

D. The First Circuit’s Statement Regarding the Sovereign Immunity Issue Is *Dictum*.

Dantzler was not decided on PRPA’s sovereign immunity argument. In contrast, this issue was diminished to a footnote with no authoritative value. In doing so, the Court of Appeals did not elaborate on the analysis, and only considered one of the various elements used to determine sovereign immunity as discussed above.

As Justice Breyer artfully put it: “Is the Court having once written *dicta* calling a tomato a vegetable bound to deny that it is a fruit forever after? To the contrary, we have written that we are not necessarily bound by *dicta* should more complete argument demonstrate that the *dicta* is not correct.” *See, Kirtsaeng v. John Wiley & Sons, Inc.*, 568 U.S. 519 (2013) citing *Central Va. Community College v. Katz*, 546 U.S. 356, 356 (2006) (“The Court is not bound to follow its *dicta* in a prior case in which the point now at issue was not fully debated”).

That is precisely the situation with *Dantzler*’s footnote 6, which peremptorily disposed of PRPA’s sovereign immunity question even though the opinion was based on lack of Article III standing. The footnote declared PRPA to be an arm of the state, without any analysis of the carefully crafted *Fresenius* two-step test, and in disregard of the deliberate examination of the four structural factors of the first step, and the fiscal factor of the second step, undertaken in *Grajales*. In fact, the footnote based its conclusion on what the Court deemed to be the particular function at issue, whereas *Fresenius* and *Grajales* have displaced that circumstantial approach in favor of the wholistic two-step test. Moreover, unlike the captioned case, *Dantzler* lacked a complete evidentiary record.

Footnote 6 is therefore dicta at best, and at worst, it is inconsistent with First Circuit precedent. This Honorable Office is not bound by footnote 6 and cannot rely on it as authoritative. Considering the entire record, this Honorable Office should reach the correct conclusion: that PRPA is not an arm of the State.

III. CONCLUSION

Under clear First Circuit precedent, that incorporates the Supreme Court decision in *Hess*, PRPA's sovereign immunity argument is unavailing. Moreover, this Honorable Commission should not rely on the First Circuit's footnote 6 in *Dantzler*: (1) because it is *dicta* and (2) because it disregards *Fresenius* and *Grajales* without any analysis of the various elements the First Circuit uses to analyze Eleventh Amendment immunity.

Unlike *Dantzler*, which was decided on the pleadings, this Honorable Commission has a complete record on the matter that confirms that PRPA is unable to carry its burden or proving that it is entitled to sovereign immunity. Therefore, Toyota's complaint should not be dismissed.

Finally, Toyota respectfully requests that additional briefing be allowed to show that a judgment in favor of Toyota should also be granted on the merits.

IV. PRAYER FOR RELIEF

WHEREFORE, Toyota requests that Honorable Commission conclude that PRPA is not entitled to sovereign immunity, so that Toyota's Complaint cannot be dismissed on those grounds, and in consequence, that additional briefing be allowed to show why a judgment in favor of Toyota should also be granted ordering reparations in its favor in the amount of \$1,166,952.59.

RESPECTFULLY SUBMITTED.

December 16, 2020, in San Juan, Puerto Rico.

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CERTIFICATE OF SERVICE

I hereby certify that on this same date we served a copy of the foregoing document upon each and all parties of record through their respective attorneys by electronic mailing to the following addresses: Thomas Trebilcock, Esq.- ttrebilcock@trebilcockrovira.com.

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